

Red Bull: **Final Marketing** **Project**

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Red Bull®



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1. Company/Brand Profile, Marketing & Customer Analysis

1

Red Bull's Road to Success

1984

Red Bull was created as a private company in Austria by Dietrich Mateschitz

1987

Launch of Red Bull energy drink in Austria



1992-1995

Expanded to Europe and United States

2005

Red Bull Racing was formed



2007

Launch of Red Bull Cola



2017

Launch of Red Bull TV

2024

Red bull Jukebox, a concert, made its debut in the U.S. on October 2nd, 2024

Mission Statement: Giving wings to people and ideas.

Vision Statement: Upholding Red Bull standards while maintaining the leadership position in the energy drinks category when delivering superior customer service in a highly efficient and profitable manner.

Core Competencies: Red Bull's innovative marketing and branding strategies.

Annual Revenue: In 2023, Red Bull made a revenue of about \$11,566,513,600. From 2011-2023, an average revenue of \$7,115,343,950 was made.

Annual Profit: As of 2018, Red Bull's gross profit was around 650 million euros, or \$712,656,750.

1. Company/Brand Profile, Marketing & Customer Analysis



Red Bull Gives You Wings

- The slogan interprets a boost of energy after drinking Red Bull



- Red represents courage, action, and energy



- The bull represents the consumer's strength, stamina, confidence, and stability after consuming Red Bull

Customers

- 91% of the U.S. are aware of Red Bull
- Red Bull's top customers: Top Athletes Busy Professionals College Students Travellers Men age 22-24
- Men age 22-24 are 64% more likely to consume Red Bull in the last 6 months than the average person

- Consumers tend to think of extreme sports when thinking about Red Bull and defying limits
- Red Bull is continuing to set ambitious goals each year to expand their company while maintaining their current reputation



1. Company/Brand Profile, Marketing & Customer Analysis

Advertisement



Instagram

- 24.6 million followers, Engagement rate: tens of thousands of likes per post, Frequency: Daily if not more than daily posts a day



Facebook

- 49 million followers, Engagement Rate: Likes vary from a couple hundred to thousands depending on post content, Frequency: Daily if not more than daily posts a day



Youtube

- 19.5 million followers, Engagement rate: Videos receive millions of views (exact number depends on video content) frequency: not frequent, sporadic postings throughout the year



X (Twitter)

- 1.9 million followers, Engagement Rate: Few likes per post compared to other platforms, Frequency: Posts multiple times a week



LinkedIn

- 1 million followers, Engagement Rate: Few thousand likes per post, Frequency: Multiple times a week



TikTok

- 14.6 million followers, Engagement Rate: Hundreds of thousands of views a post, Frequency: Multiple times a week

#GIVESYOUWINGS

- Red Bull repeatedly uses their slogan: Red Bull gives you wings in their various platforms to further engage the consumers to spread their brand



- Red Bull Consumers will tend to use this emoji when reacting to posts, along with also using #GivesyouWings in their own posts



- Red Bull frequently posts extreme sports on their platforms to attract audiences to watch or engage in their posts

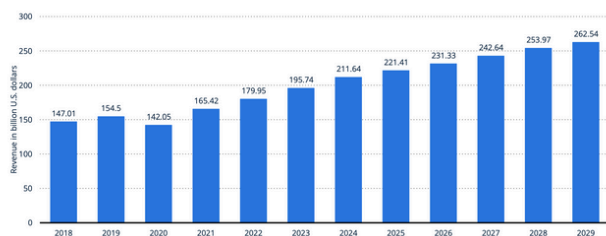
2. Marketing Situation/Product

Competitor Analysis

Product Type Market Size

Revenue of the energy & sports drinks industry Worldwide 2018-2029 (in billion U.S. dollars)

Revenue of the energy & sports drinks industry Worldwide 2018-2029



In the United States:

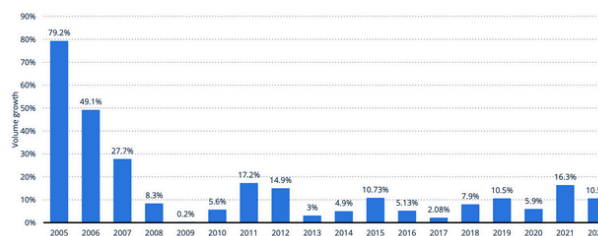
- **Market Size: \$25.8 billion**
- **Projected Market Size in 2033: \$50.8 billion**
- **The drink segment is forecasted to continue its dominance in the future**

Product Type Growth

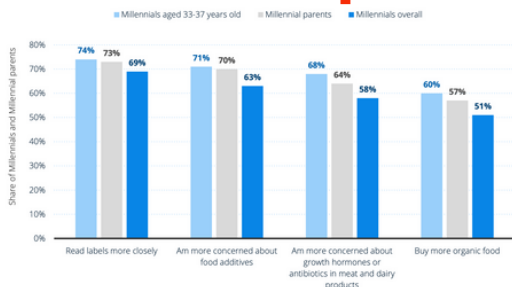
- **Growth phase of its product life cycle: annual volume of energy drinks sold has increased each year in the U.S.**
- **Since the market is continuously growing: Existing energy drink companies will continue to develop and new companies will form**

Sales volume growth of energy drinks in the United States from 2005 to 2022

Sales volume growth of energy drinks in the U.S. 2005-2022



Important Trends



There's an increased desire for healthier drinks that promote:

- **Better hydration**
- **immunological support**
- **increased mental concentration**

Other Trends

- **Product diversity (more flavors)**
- **Eco-friendly**



2. Marketing Situation/Product

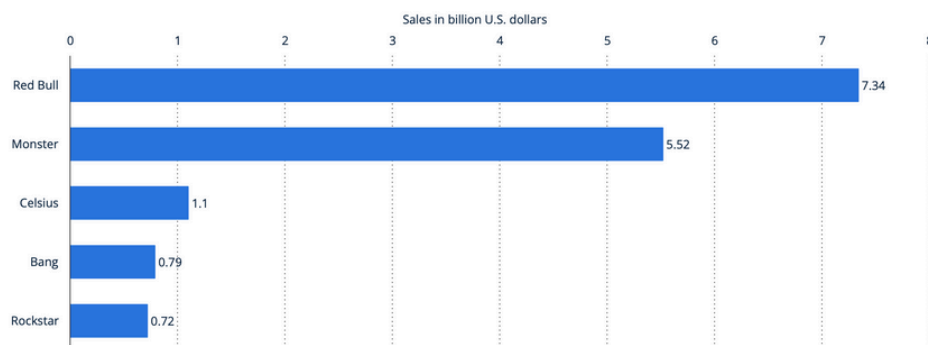
Industry Analysis

Red Bull is continuously competing against other companies that sell energy drinks

Market Share Between Competitors

Leading energy drink brands in the United States in 2023, based on sales (in billion U.S. dollars)*

Leading energy drink brands in the U.S. 2023 based on sales



Red Bull's Top Four Competitors



- Monster
- Celsius
- Bang
- Rockstar

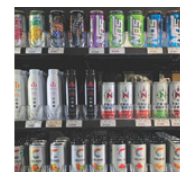


Competitors' Advantages

- Newer
- Healthier/modern ingredients
- Wider variety of audience

Barriers to Entry

- Branding
- Bottling and distribution capabilities
- Shelf space



The industry is rapidly growing, forecasting the competitive condition to increase as the market size increases

2. Marketing Situation/Product

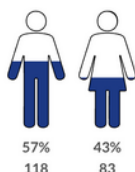
Macroenvironment Analysis

Relevant Factors Impacting the Industry

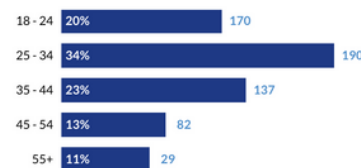
● Energy Drinks: Brand/ Total Users Drank in Last 6 Months_Regular

UNWEIGHTED 4,476 WEIGHTED(000) 21,960 % OF BASE 9%

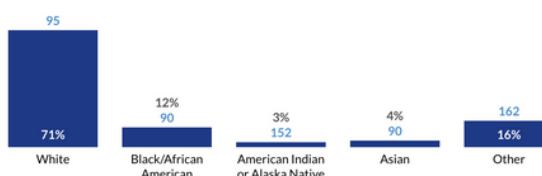
GENDER



AGE: Median Age: 34.0



RACE

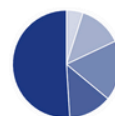


HOUSEHOLD



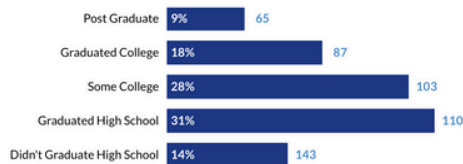
HOUSEHOLD INCOME:

Median Household Income: \$73,069

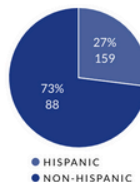


\$250K+	5%	71
\$150K-\$250K	13%	80
\$100K-\$150K	18%	101
\$75K-\$100K	13%	95
<\$75K	51%	112

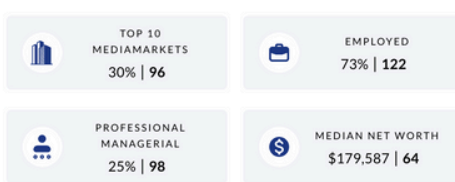
EDUCATION



ETHNICITY



OTHER DEMOGRAPHICS



- Uprising in health concerns and awareness on food and drink consumption
- Increased awareness of eco-friendly materials

Red Bull's Limits to Competition



- Red bull's recipe compared to other upstarting companies (not as healthy)



2. Marketing Situation/Product

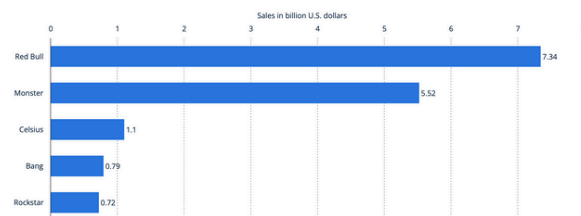
S.W.O.T. Analysis

Strengths:

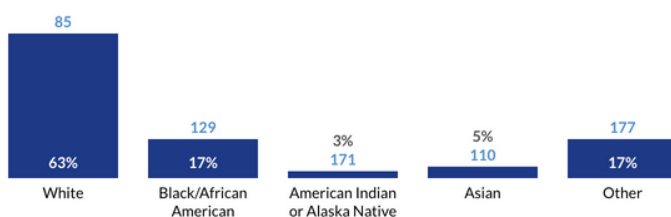
- **Marketing (advertisement):** Red Bull has been able to expand to different industries (ex. racing)
- **Financial Situation/Power:** Red Bull remains the top energy drink brand in sales in the United States

Leading energy drink brands in the United States in 2023, based on sales (in billion U.S. dollars)*

Leading energy drink brands in the U.S. 2023 based on sales



RACE



Weaknesses:

- **Limited Reach:** Red Bull has been unable to reach certain demographics (ex. non-white)
- **Revenue Source:** Red Bull is relying heavily on younger consumers for revenue

Opportunities:

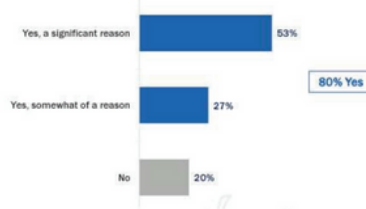
- **Eco-friendly modifications:** An increase in consumers purchasing products that reduce food waste create a new potential market
- **Allergy-friendly market:** An increase in allergies increases the market for allergy-friendly products

4 in 10 have purchased food with allergen labeling in the last year
80% purchased those products specifically because of the labeling

Purchased Food with Allergy/Intolerance Labels In Past Year

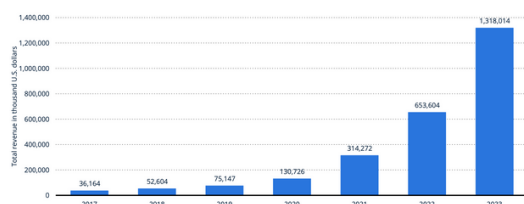


Was Label a Reason for Purchasing the Product?
(Of Those Who Purchased)



Revenue of Celsius Holdings from 2017 to 2023 (in 1,000 U.S. dollars)

Celsius Holdings annual revenue 2017-2023



Threats:

- **Newer companies:** Newer companies continue to grow and take some of the market
- **Nutritional Value:** Red Bull's existing recipe isn't as healthy compared to other companies

3. Consumers and Segmentation

Segmentation

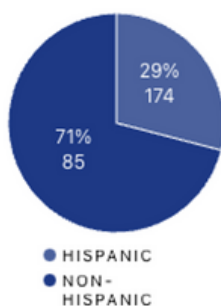
Consumer Attributes Relevant to Red Bull

Demographics:

GENDER



ETHNICITY



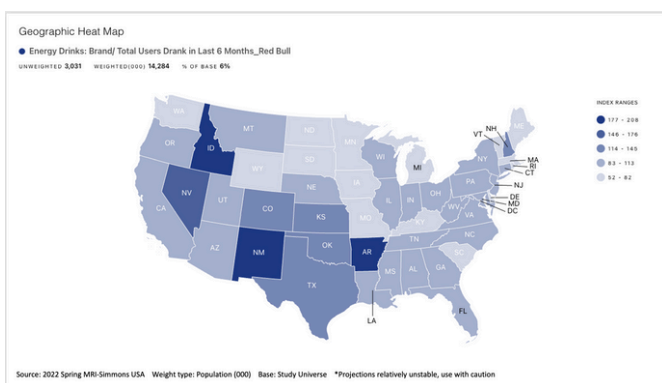
Males and Hispanics are more likely to purchase Red Bull.

Behavioral:

People who study late in college, work late, play sports, or travel often are more likely to consume Red Bull.

Geographics:

In the United States, the southern-western region of the country is more likely to purchase Red Bull than the other states, specifically Arkansas, New Mexico, and Idaho.



Psychographics:

Psychographics : Attitudes Toward Advertising

● Energy Drinks: Brand/ Total Users Drank in Last 6 Months_Red Bull
UNWEIGHTED 3,031 WEIGHTED 14,284 % OF BASE 6%



Source: 2022 Spring MRI-Simmons USA Weight type: Population (000) Base: Study Universe *Projections relatively unstable, use with caution

Overall, customers who view advertisements feel more likely to purchase Red Bull.

3. Consumers and Segmentation

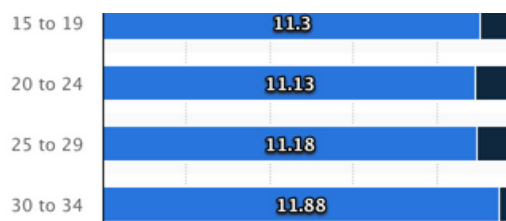
Target Market

Profile:

Red Bull's Target Market consists of customers in these categories:

- **Age group: Generation Z**
- **Gender: Male**
- **Ethnicity: Hispanics**
- **Geographics: States in the southern western region (Specifically Arkansas, New Mexico, Idaho)**
- **Other characteristics: Athletes, college students, busy professionals, travelers**

Market Attractiveness:



Number of Males in the U.S. per age group (in millions)

- There are around 45.5 million males in the U.S. that are generation Z
- There are over 65 million Hispanics living in the U.S. (2023)
- Males in Arkansas/Idaho/New Mexico: over 5.56 million males
- There are 522,000 collegiate athletes in the U.S. (over half being male)
- The average person that's categorized as generation Z spends around \$1000-\$3000 a month

Persona:

Peyton:

Peyton is a hispanic 19 year old male from New Mexico. Peyton is currently a D1 baseball player for UCSB and a co-owner of a start-up company that sells new scented surfboard wax, however, this company has currently gained little revenue.

Mike:

Mike is a 23 year old male from Boise, Idaho locally attending Boise state university. Because Mike is short on cash due to college tuition, he also works two different jobs, giving him little time to sleep throughout the week.

3. Consumers and Segmentation

Product Positioning

Customer Needs:

- **Burst of Energy**
- **Revitalizer**
- **Refreshment**
- **Tasty Relief**

Features & Benefits:

- **Slogan: Red Bull Gives You Wings** is an iconic staple to the public
- **Colors: Red** represents courage, action, and energy (is more enticing to consumers)
- **Logo: The two bulls** is unique compared to competitors

Positioning Statement:

For athletes and young professionals who need a quick boost, Red Bull provides a performance-enhancing drink that helps them overcome challenges.

Perceptual/Positioning Maps



Packaging



Red Bull's packaging is simple, yet effective and convenient to transport.

- **Primary Packaging: Aluminum can**, focuses on brand
- **Secondary Packaging: Plasting covering, cardboard box**, focuses on easy transportation



4. Place and Pricing Strategy

Retail Channel

Target.com

- **Brand fit:** ages 18-24 14% / ages 25-34 40% more likely to shop at Target.com. Target.com fits Red Bull's image of convenience along with offering extreme sports equipment that Red Bull promotes.
- **Cost:** Retail Price: \$2.29. Average mark up: 46%. Retail price = market price x (1+ % mark up); market price = \$1.57
- **Reach:** 220.5 million visits in April 2020, more technological developments will only increase Target.com's potential customers
- **Forecast sales:** \$220,753,400; Market share of energy drinks: 43%; Energy drinks total revenue: \$193 billion, 14% of energy drinks sold online; Target.com accounts for 1.9% of the total ecommerce sales.
 - $193 \text{ billion} \times 14\% = \$27,020,000 \times 0.43 = \$11,618,600,000$ Red Bull online sales
 - $1.9\% \times 11,618,600,000 = \$220,753,400$ forecasted sales for Target.com
- **Channel partners:** Intermediaries: warehouses, Target acts as its own intermediary, switches ownership once Red Bull gives products to warehouses through retailers

Shell Gas Station

- **Brand fit:** ages 18-24 17% / ages 25-34 33% more likely to go to shell in the last 6 months. Shell fits red bull's image of convenience
- **Cost:** Retail price: \$3.19, Upcharge: 72%; Market price = \$1.85
- **Reach:** 33 million customers daily; potential customers will only increase as the world population increases. Shell has over 47,000 stations and is still expanding
- **Forecast sales:** \$4,530,050,000; Market share of energy drinks: 43%; Energy drinks total revenue: \$193 billion, 86% of Red Bull is sold physically;
 - $193 \text{ billion} \times 86\% = \$168,560,000,000$ physical sales
 - ~50% of energy drinks take place in gas stations
 - $\$168,560,000,000 \times 50\% = \$84,280,000,000$ energy drink revenue from gas stations
 - $43\% \times \$84,280,000,000 = \$36,240,400,000$ Red Bull from gas stations
 - Shell has a 12.5% market share of the gas market: $12.5\% \times \$36,240,400,000 = \$4,530,050,000$ forecasted sales
- **Channel partners:** Intermediaries: Shell is the retailer, ownership switches away from Red Bull once it's given to the customer

New Channel: Pop-up cart at the bottom of trailheads

- **Brand fit:** Hiking is a popular activity for target market and fits with Red Bull's image of exciting activities
- **Cost:** Wholesale price: \$2.80; Since these pop-up carts may not be as publicized as normal stores, their market price might be more expensive since they are selling a smaller quantity of product. Therefore, to gain more money, this channel will increase its wholesale price to \$2.80 to gain more profit along with upcharging retail price up to \$5 a product
- **Reach:** Over 61 million people in the U.S. went hiking in 2023. There are hundreds of thousands of trails already found along with new trails being discovered often. The reach will also increase as the world population increases
- **Forecast sales:** 61 million people in the US alone went hiking in 2023, set up shop in 100,000 trail heads. Assume 1 in 5 people will purchase a Red Bull. Assume 30% of those buyers repeat their purchase at least once in the year $12,200,000 + 3,660,000 = 25,860$ sales. $15,860,000 \times 5 = \$79,300,000$ forecasted sale for the US only.
- **Channel partners:** Retailers, distributors. Ownership switches once it goes from the pop up cart employee to the customer

4. Place and Pricing Strategy

Pricing Strategy

Pricing Strategy Style:

- EDLP (Every Day Low Pricing); targeting younger generations, having a low price without having to wait for discounts offers reliability and convenience for customers on the go. This strategy resembles its growth position in the product life cycle because EDLP helps create more customer loyalty and its low pricing attracts more customers.

Recommended Red Bull MSRP:

- \$2.20; still upcharges and produces net revenue per sale while still being slightly cheaper than its competitors.

Wholesale Price:

- \$2 per product, creating a \$1.91 revenue for the manufacturer (\$0.09 production cost per product).

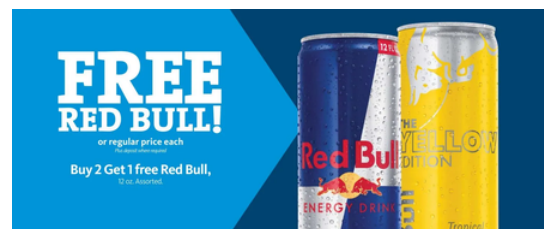
Red Bull's Current Pricing Strategy

- Premium pricing strategy; acts as a high-end product with higher end prices compared to competitors

Cost is very important in creating revenue for the product: In 2023, Red Bull made a revenue of about \$11,566,513,600, earning a gross profit of around \$1.70 per unit.

Red Bull is on the lower end of price per unit compared to its competitors.

- **Red Bull is able to price lower and still make significant revenue due to its brand position and effective marketing**



Discounting Norms for Energy Drink Industry: Discounted price for larger quantities

- Other retail channels discount the individual product separately
- Manufacturers have the most power in pricing because their market price alters every other channel involved

5. Promotion Message and Tactics

Current Promotional Strategy

Current slogan: Red Bull gives you wings

Social Media Tag: #RedBullgivesyouwings

- The term wings interprets the boost of energy after drinking Red Bull
- Symbolizes the freedom that you experience from Red Bull

Proposed Promotional Strategy

Proposed Campaign: Red Bull creates a new product line that's slightly more expensive and with a special packaging style. On each of these cans, there's a sticker for consumers to peel that contains a 9 digit number. Every month, Red Bull chooses 10 of these 9 digit numbers to win a paid vacation to locations such as Hawaii and Greece. The winners are announced at the end of the month.

Slogan Change: Red Bull: Fuel Your Adventure

This fits with Red Bull's positioning statement because it's relatable to young professionals and athletes trying to take on and fuel their own personal adventures. It also still implies the energy that Red Bull gives to consumers.

How it builds on the current brand:

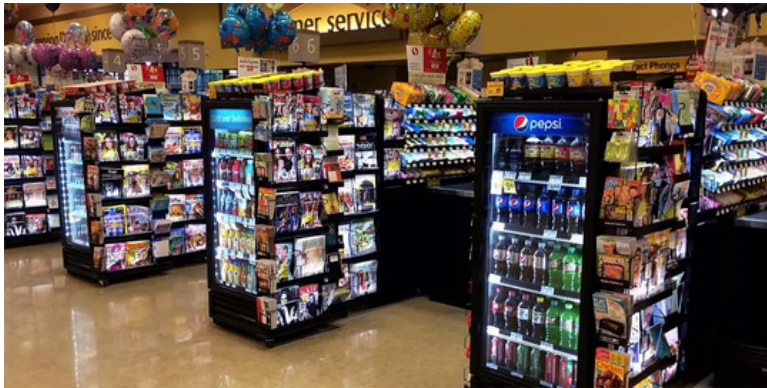
- Correlates with target audience of younger generation
- Statement can be relatable to anyone

Intended to Evoke these Emotions:

- Excitement
- Happiness
- Encouraging

1. Paid Advertising / Product Placement:

- **Location of this new product line: Small fridges right before the checkout lines and normal Red Bull locations at all Kroger stores in the U.S.**



- **Creates convenience for customers to purchase**
- **Creates Impulse purchases**

- **Average cost for prime placement: \$1,500 annually per store**
- **Frequency: Around 2,719 Kroger stores in the U.S.**

Total Cost: \$4,078,500

Expected Reach: 757,878,700 a year

- **6.2% of U.S. citizens go grocery shopping daily = 20,763,800 people daily**
- **$20,763,800 \times 365 = 7,578,787,000$ annual shoppers**
- **$7,578,787,000 \times 10\%$ (Kroger's market share) = 757,878,700**

Expected Sales: \$8,805,034.14 annual sales from product placement

- **74% of people purchase single-serve cold beverages on impulse when shopping**
- **$74\% \times 757,878,700 = 560,830,238$ people who impulse purchase beverages a year**
- **Market share of Red Bull for carbonated soft drinks: ~1%**
- **$1\% \times 560,830,238 = 5,608,302$ customers in a year**
- **$5,608,302 \times \$1.57 = \$8,805,034.14$ sales from product placement**

Annual Gross Profit: \$8,300,286.96

- **Cost of product sold: \$0.09 production rate**
- **$5,608,302 \times \$0.09 = \$504,747.18$ COGS for advertisement**
- **$\$8,805,034.14$ (total revenue) - $\$504,747.18$ (COGS) = $\$8,300,286.96$**

ROMI: 116%

- **$((\text{Marketing Revenue} - \text{Marketing Expenses}) / \text{Marketing Expenses}) \times 100$**
- **$((\$8,805,034.14 - \$4,078,500) / \$4,078,500) \times 100 = 116\%$**

6. Promotion Marketing Media Mix

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2. Paid Influencers: Bear Grylls

Bear Grylls is a famous British adventurer and survival expert who is most known for his show, Man vs. Wild



- **Bear Grylls will promote using Red Bull for energy to take risks and explore the world**

Cost for endorsement: \$2,000,000

Cost per post: \$10,000

Frequency: Three times a month

Total Cost: \$2,360,000 a year

Expected Reach: Ages 16-55, 12 million on Facebook

Expected Sales: \$7,347,600 sales from influencer promotions

- **39% of people say influencer promotions sway their spending habits**
- **12 million fans x 39% = 4,680,000 people swayed to purchase product**
- **4,680,000 x \$1.57 (wholesale price) = \$7,347,600 sales**

Gross Profit: \$6,926,400

- **Cost of product sold: \$0.09 production rate**
- **4,680,000 x \$0.09 = \$421,200 COGS for advertisement**
- **\$7,347,600 (total revenue) - \$421,200 (COGS) = \$6,926,400**

ROMI: 211%

- **$((\text{Marketing Revenue} - \text{Marketing Expenses}) / \text{Marketing Expenses}) \times 100$**
- **$((\$7,347,600 - \$2,360,000) / \$2,360,000) \times 100 = 211\%$**

2. Paid Influencers: Anthony Edwards

Anthony Edwards is a rising NBA all-star known for his explosiveness and participation in the USA Olympics.



- **Anthony Edwards will promote using Red Bull for the extra burst of energy to succeed**

Cost for endorsement: \$10,000,000

Cost per post: \$20,000

Frequency: Three times a month

Total Cost: \$10,720,000 a year

Expected Reach: 75,600,000 NBA fans

- **Estimated 210 million followers**
- **Around 36% of people find Anthony Edwards popular**
- **210 million x 36% = 75,600,000**

Expected Sales: \$46,289,880 sales from influencer promotions

- **39% of people say influencer promotions sway their spending habits**
- **75,600,000 x 39% = 29,484,000 people swayed to purchase product**
- **29,484,000 x \$1.57 (wholesale price) = \$46,289,880 sales**

Gross Profit: \$43,636,320

- **Cost of product sold: \$0.09 production rate**
- **29,484,000 x \$0.09 = \$2,653,560 COGS for advertisement**
- **\$46,289,880 (total revenue) - \$2,653,560 (COGS) = \$43,636,320**

ROMI: 331%

- **$((\text{Marketing Revenue} - \text{Marketing Expenses}) / \text{Marketing Expenses}) \times 100$**
- **$((\$46,289,880 - \$10,720,000) / \$10,720,000) \times 100 = 331\%$**

3. Paid Retailer 'Push' Promotions



- Provide retailers with signage (cardboard cutouts) to intrigue customers

Cost per ad: \$300 per month (for creation of ad and store installation fees)

Frequency: One in every Kroger store in the U.S. : 2719 stores

- $2719 \times \$300 = \$815,700$
- $\$815,700 \times 12 = \$7,788,400$

Total Cost: \$7,788,400 a year

Expected Reach: 522,936,303 people a year

- 6.2% of U.S. citizens go grocery shopping daily = 20,763,800 people daily
- $20,763,800 \times 365 = 7,578,787,000$ annual shoppers
- $7,578,787,000 \times 10\%$ (Kroger's market share) = 757,878,700
- 69% of shoppers recall seeing in store advertisements
- $757,878,700 \times 69\% = 522,936,303$

Expected Sales: \$15,024,482.40 a year

- Average look rate for a cardboard display is 3%
- $522,936,303 \times 3\% = 15,688,089$ people look at the displays a year
- 61% of shoppers who saw the advertisement purchase the product
- $61\% \times 15,688,089 = 9,569,734$
- $9,569,734 \times \$1.57 = \$15,024,482.40$

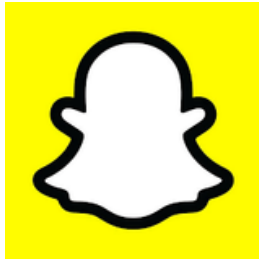
Annual Gross Profit: \$14,163,206.30

- Cost of product sold: \$0.09 production rate
- $9,569,734 \times \$0.09 = \$861,276.06$ COGS for advertisement
- $\$15,024,482.40$ (total revenue) - $\$861,276.06$ (COGS) = $\$14,163,206.30$

ROMI: 93%

- $((\text{Marketing Revenue} - \text{Marketing Expenses}) / \text{Marketing Expenses}) \times 100$
- $((\$15,024,482.40 - \$7,788,400) / \$7,788,400) \times 100 = 93\%$

4. Social Media: Snapchat



Snapchat is the #1 social media platform in usage by Generation Z. This campaign will have stories daily about the different prize locations, the winners of the contest, and general advertising.

- **Impact:** can significantly increase awareness and sales
 - Due to Snapchat's unique platform, specialized marketing strategies can be used

Frequency: Three times a week:

- Two weekdays and one weekend

Cost:

- Daily Photo/Video ads (\$3000 a month)
- Lense filters on Fridays once a month (\$500,000 each time)

Total Cost: \$6,036,000 a year

Expected Reach: 122,130,000 users

- Around 414 million users
- 50% of users will open an advertisement on snapchat
- $414 \text{ million} \times 50\% = 207 \text{ million}$
- 59% of users remember seeing an advertisement on Snapchat
- $207 \text{ million} \times 59\% = 122,130,000 \text{ users}$

Expected Sales: \$46,775,973.20

- Snapchat advertisements reach 87.5% of users on average
- $122,130,000 \times 87.5\% = 106,863,750$
- 82% of users recall seeing branded advertisements
- $106,863,750 \times 82\% = 87,628,275$
- Around 34% of shoppers who saw the advertisement are influenced to purchase the product
- $87,628,275 \times 34\% = 29,793,613 \text{ users purchase the product from these advertisements}$
- $29,793,613 \times \$1.57 = \$46,775,973.20$

Annual Gross Profit: \$44,094,548

- Cost of product sold: \$0.09 production rate
- $29,793,613 \times \$0.09 = \$2,681,425.17 \text{ COGS for advertisement}$
- $\$46,775,973.20 \text{ (total revenue)} - \$2,681,425.17 \text{ (COGS)} = \$44,094,548$

ROMI: 675%

- $((\text{Marketing Revenue} - \text{Marketing Expenses}) / \text{Marketing Expenses}) \times 100$
- $((\$46,775,973.20 - \$6,036,000) / \$6,036,000) \times 100 = 675\%$

6. Promotion Marketing Media Mix

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4. Social Media: TikTok



TikTok is the #2 social media platform in usage by Generation Z. This campaign will have posts 2-3 times a week advertising the contest and showing off the different prize locations.

- Impact: Can increase awareness, publicity, and sales

Cost: \$11,908 a day

Frequency: Once a day

Total Cost: \$4,346,420 a year

- 50 million Americans log into TikTok a day
- Average engagement rate: 2.6%
- 1,300,000 people engage in the advertisement a day
- Average Ad TikTok CPM (per thousand): \$9.16
- $1,300,000 / 1000 = 1300$
- $1300 \times \$9.16 = \$11,908$ per day
- $\$11,908 \times 365 = \$4,346,420$ a year

Expected Reach: 474,500,000 users a year

- $1,300,000 \times 365 = 474,500,000$

Expected Sales: \$25,328,810 a year

- TikTok's average conversion rate is 3.4%
- $3.4\% \times 474,500,000 = 16,133,000$ users purchase the product from these advertisements
- $16,133,000 \times \$1.57 = \$25,328,810$ a year

Annual Gross Profit: \$23,876,840

- Cost of product sold: \$0.09 production rate
- $16,133,000 \times \$0.09 = \$1,451,970$ COGS for advertisement
- $\$25,328,810$ (total revenue) - $\$1,451,970$ (COGS) = $\$23,876,840$

ROMI: 483%

- $((\text{Marketing Revenue} - \text{Marketing Expenses}) / \text{Marketing Expenses}) \times 100$
- $((\$25,328,810 - \$4,346,420) / \$4,346,420) \times 100 = 483\%$

6. Promotion Marketing Media Mix

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4. Social Media: Instagram



Instagram is the #3 social media platform in usage by Generation Z. This campaign will have posts 2-3 times a week showing the prize winners, advertising the campaign, and an inside look at prize locations.

- **Impact:** Increases awareness and sales

- **Cost:** \$0.50 cost per click
- **Frequency:** Once a day
- **Frequency of engagement:** 0.5% click through rate
- **Number of daily Instagram users:** 161 million in the U.S.
 - **Ad engagement:** 805,000 users daily
- **Total Cost:** \$881,475 a year
 - $805,000/1000 = 805$
 - $805 \times 3 = \$2,415$
 - $2,415 \times 365 = \$881,475$
- **Expected Reach:** 293,825,000 users a year
 - $805,000 \times 365 = 293,825,000$

Expected Sales: \$4,982,096.70 a year

- Instagram has a conversion rate of 1.08%
- $293,825,000 \times 1.08\% = 3,173,310$ users purchase the product from these advertisements
- $3,173,310 \times \$1.57 = \$4,982,096.70$ a year

Annual Gross Profit: \$4,696,498,80

- **Cost of product sold:** \$0.09 production rate
- $3,173,310 \times \$0.09 = \$285,597.90$ COGS for advertisement
- $\$4,982,096.70$ (total revenue) - $\$285,597.90$ (COGS) = $\$4,696,498,80$

ROMI: 465%

- $((\text{Marketing Revenue} - \text{Marketing Expenses}) / \text{Marketing Expenses}) \times 100$
- $((\$4,982,096.70 - \$881,475) / \$881,475) \times 100 = 465\%$

5. Publicity/Public Relations

Streamed/Public Contest Drawing Event:

When revealing the winners to the contest each month, Red Bull can invite the press and fans to form an event. In this event, Red Bull can host a smaller music festival and feature paid influencers along with announcing any charity or donations the company has decided to make. This event can also be streamed for further publicity.



Cost:

- **Music Artists (prices based on previous Red Bull artist rates):**
 - DJ Snake: \$400,000
 - Denzel Curry: \$90,000
 - Kaskade: \$225,000
 - Rae Sremmurd: \$150,000
 - Chet Faker: 400,000
- **Festival fees**
 - Renting out venue: 100,000
 - 443 staff: 4 hours, average \$22 an hour, \$38,984
- **Any donations to charity**

Total Cost: \$1,403,984 + additional donations

6. Promotion Marketing Media Mix

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6. Word of Mouth

The Bull Trophy

The winners of each contest will receive a bull trophy (each contest a different color or accessory) that will be unique and exclusive to those winners only.



Cost: 10 winners, each trophy around \$250
Total Cost: \$2500 every contest

Total Budget, Forecast Sales, Expected Profits, and ROMI Table:

Promotion Mix	Expected Units	Expected Sales	Gross Profit	Promotion Cost	Net Income	ROMI
Paid Advertising	5,608,302	\$ 8,805,034	\$ 8,300,287	4,078,500	\$ 4,221,787	116%
Influencers	34,164,000	\$ 53,637,480	\$ 50,562,720	\$ 13,080,000	\$ 37,482,720	310%
Push Promotion	9,569,734	\$ 15,024,482	\$ 14,163,206	\$7,788,400	\$ 6,374,806	93%
Social Media	49,099,923	\$ 77,086,879	\$ 72,667,886	15364516.7	\$ 57,303,369	402%
Publicity	6,800	\$ 816,000	\$ 815,388	\$ 1,403,984	\$ (588,596)	-42%
Word of Mouth	10	N/A	N/A	\$ 2,500	\$ (2,500)	N/A
	98,448,769	\$ 154,564,567	\$ 146,509,487	\$ 41,717,901	\$ 104,791,587	270%

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